

Funds and GAM

Political funding has always been a murky, unexplored area. It still is, as political parties file income tax returns with disclosures that are far from transparent. INDIA TODAY investigates.

| By Shyamlal Yadav |

Money, it is easily said, makes the world go around; and politics, around and around. What's not so easy is nailing the numbers. Cut to 2003: then law minister Arun Jaitley, while moving amendments to the Representation of the People Act (RPA) in Parliament, said the proposed changes were aimed at bringing accountability into the political system. The amendments were later ratified by the Parliament and changes were also made in the Companies Act and Income Tax Act, all aimed at ensuring greater transparency and reducing the role of unaccounted money in funding of political parties.

Five years down the line, it appears that the changes then made in the RPA have had little impact on the funding of most political parties. INDIA TODAY invoked the Right to Information (RTI) Act to get details of funds collected by political parties. Cutting across party and ideological divides, one fact stands out: almost all political parties still get a large chunk of their funds from undisclosed sources. The seven recognised national parties—Congress, Bharatiya Janata Party (BJP), Bahujan Samaj Party (BSP), Communist Party of India (CPI), Communist Party of India-Marxist (CPI-M), Rashtriya Janata Dal (RJD) and Nationalist Congress Party (NCP)—collected over Rs 309 crore from donations, voluntary contributions, election funds and sale of coupons during 2006-07 (The figures available for the NCP

and RJD are for 2005-06). Surprisingly, the source of funding has been disclosed only for Rs 15 crore. Similarly, nine regional parties—Telugu Desam, Lok Janshakti Party, Dravida Munnetra Kazhagam (DMK), Biju Janata Dal, Shiv Sena, Rashtriya Lok Dal (RLD), Janata Dal-United (JD-U), Shiromani Akali Dal and Samajwadi Party—collected over Rs 94 crore from voluntary contributions, election funds and

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coupon sales but have disclosed the sourcing for a piffling Rs 15 lakh.

Put together, 16 of the largest political parties in the country collected over Rs 400 crore of which less than Rs 16 crore was attributed to known sources. RTI applications sent in May this year regarding the returns filed by parties like the AIADMK, National Conference, Indian National Lok Dal, People's Democratic Party (PDP), Janata Dal-Secular and Asom Gana Parishad (AGP) remain unaddressed.

A close scrutiny of the tax returns of parties show that most do not take in-

